

Does Market Sentiment Actually Change How Traders Perform?

A look at 211,218 real Hyperliquid trades from 32 accounts, checked against the daily Bitcoin Fear & Greed Index from May 2023 to May 2025.

\$1.19B	211,218	32	83.2%	\$10.25M
Total volume traded	Trades analyzed	Trader accounts	Overall win rate	Net closed PnL

What I found

The short answer is yes, sentiment matters, but probably not in the way you'd guess. The common assumption is that traders do well when everyone's greedy and get chewed up when everyone's scared. That's not really what's happening here. Win rate barely moves across sentiment regimes, it stays somewhere between 76% and 89% no matter what the market mood is. What actually changes is how traders position themselves, how big their bets are, and how efficiently their capital is working.

The single clearest pattern in the whole dataset: on Extreme Greed days, every dollar traded earns roughly three times more profit than on any other kind of day, about 218 basis points versus 65-75 on average. That's a big gap, and it shows up even though traders are actually placing smaller bets during those exact days. Worth keeping in mind, though: this data comes from a small, fairly concentrated group of traders (5 of 32 accounts account for two-thirds of all volume) trading mostly BTC, HYPE and SOL, so I wouldn't extrapolate this to "the crypto market" broadly. It's a snapshot of how this particular cohort behaves.

The five things worth remembering:

- Win rate holds up everywhere (76-89%), and is actually highest in Extreme Greed (89.2%) and lowest in Extreme Fear (76.2%). That's basically the opposite of the classic "be fearful when others are greedy" advice, at least for how this group trades.
- Capital efficiency is where the real story is. Extreme Greed days return about 218 bps per dollar traded, roughly triple every other regime, even with smaller average trade sizes.
- Traders here flip direction with the mood of the market: long positions make up 69% of new entries during Extreme Fear, but that drops to 42-45% once the market turns greedy. In other words, they're buying fear and selling greed, which is a classic contrarian pattern.
- Average trade size actually shrinks as the market gets greedier, from about \$5,350 in Extreme Fear down to \$3,112 in Extreme Greed. That's a bit counterintuitive since Extreme Greed is exactly where the returns are best.

- The pattern is statistically real (Kruskal-Wallis, $p < 0.001$) but it's lumpy, not a smooth dial. Correlating the raw 0-100 sentiment score against daily PnL gives a weak, insignificant result (rho around 0.04). The effect really only shows up once you're in the extremes.

How I approached this

There are two datasets here. The first is the Bitcoin Fear & Greed Index, a daily 0-100 sentiment score that gets bucketed into five labels: Extreme Fear, Fear, Neutral, Greed, and Extreme Greed. It goes back to 2018. The second is Hyperliquid's historical trade log, 211,224 individual fills from 32 accounts trading 246 different symbols between May 2023 and May 2025, with execution price, size, side, direction, realized PnL and fees all included.

To join them, I floored each trade's timestamp down to a calendar date and matched it to that day's sentiment label. 211,218 of the 211,224 trades matched cleanly (99.997%), the handful that didn't fell outside the sentiment index's date range and got dropped.

A quick note on the metrics, since it matters for interpreting the numbers correctly. Win rate and PnL figures only count trades that actually closed a position and realized a profit or loss (104,408 of them), since opening a position doesn't have a PnL yet by definition. "Capital efficiency" is total closed PnL divided by total dollar volume for that regime, expressed in basis points, this is a way of normalizing for the fact that some regimes just have more trading activity than others. Long/short bias is measured only on new position opens, not closes.

For the stats, I used a Kruskal-Wallis test rather than a standard ANOVA because PnL is heavily skewed, a few huge trades would otherwise distort a parametric test. For the continuous relationship between the raw sentiment score and daily outcomes, I used Spearman rank correlation for the same reason.

Quick snapshot of the data

Metric	Value
Date range	1 May 2023 – 1 May 2025 (730 days)
Total trades	211,218
Trader accounts	32
Symbols traded	246 (BTC, HYPE and SOL alone make up 77% of volume)
Total volume	\$1,191,098,774
Net closed PnL	\$10,254,487
Volume concentration	Top 5 of 32 accounts account for 67.3% of all volume

Digging into the findings

1. Win rate barely moves, but it does peak in Extreme Greed

Across every single sentiment bucket, win rate never drops below 76%. That tells you this is a group of traders who generally know what they're doing and manage risk consistently, regardless of market mood. But it's not perfectly flat either. Extreme Greed (89.2%) and Fear (87.3%) are clearly the strongest regimes, while Extreme Fear (76.2%) and plain Greed (76.9%) are the weakest. It's almost a U-shape in reverse, the two "middling" states of conviction are where the edge is thinnest, and the two extremes, where a contrarian setup is easiest to spot, are where win rate is best.

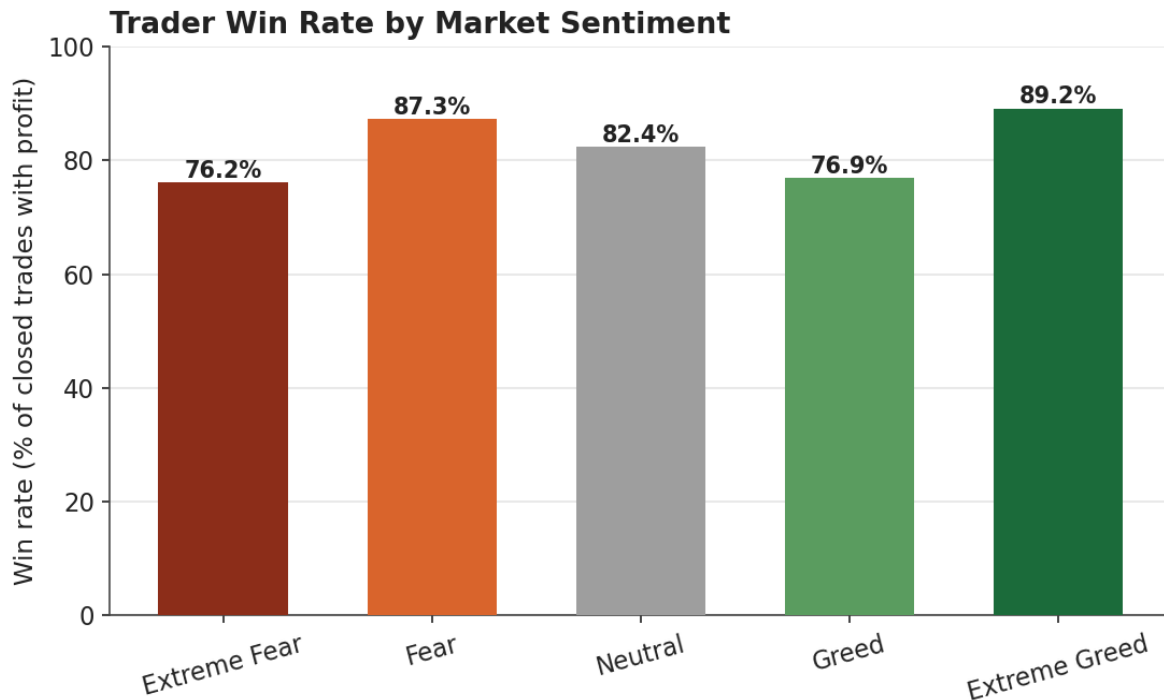


Figure 1: Win rate (share of closed trades that were profitable) by sentiment class.

2. Capital efficiency is really the headline number here

Total profit looks highest during Fear (\$3.36M), but that's mostly because there's more trading volume happening then, not because Fear trades are inherently better. Once you normalize for size, the picture flips: Extreme Greed generates about 218 basis points of profit per dollar traded, compared to 65-75 bps everywhere else. That's roughly a 3x gap, and it's the single most tradeable pattern in this whole dataset.

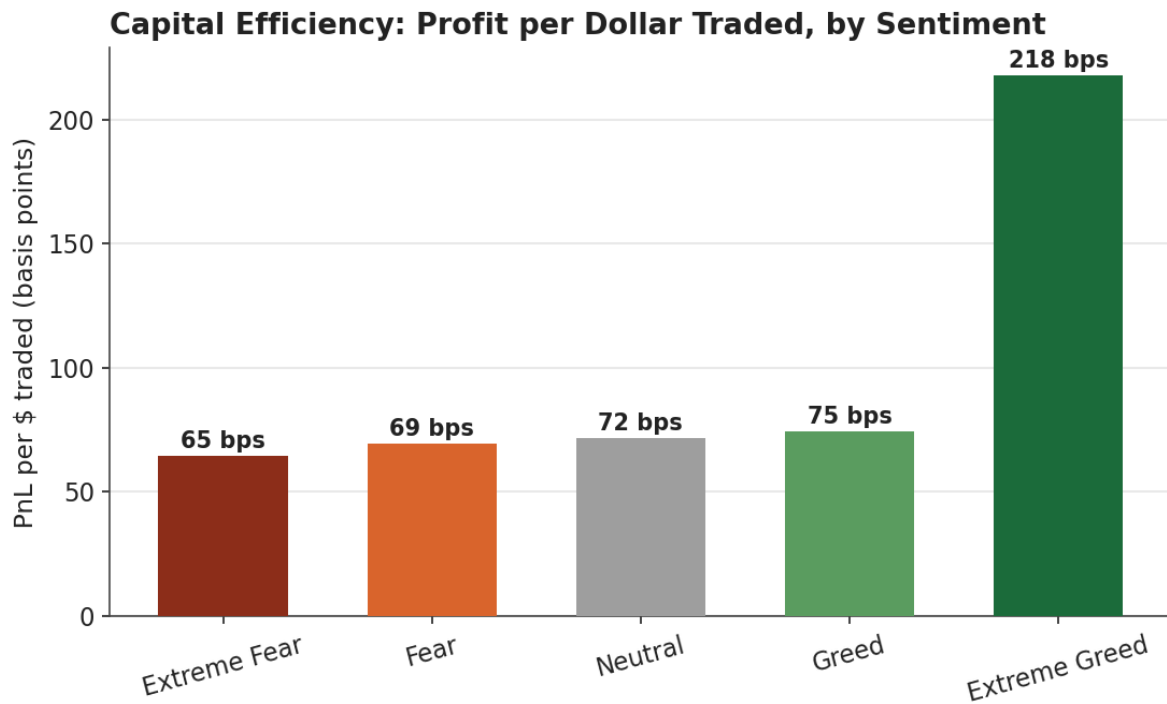


Figure 2: Profit generated per dollar of trading volume, by sentiment (basis points).

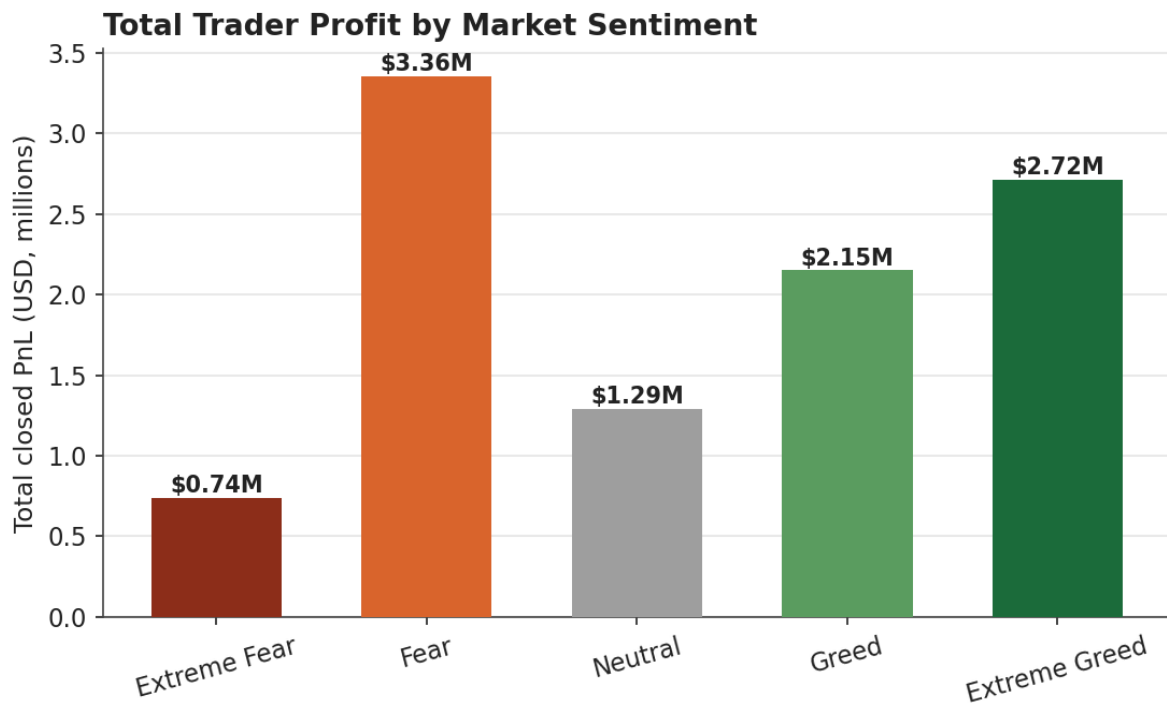


Figure 3: Total realized profit by sentiment class (in millions of USD).

3. Traders are clearly playing contrarian, not chasing momentum

New long positions make up 68.8% of all opens during Extreme Fear. That number falls steadily as sentiment improves, down to 42.3% during Greed and 45.1% during Extreme Greed. So this cohort is buying into fear and shorting into greed, a textbook contrarian stance rather than trend-following. Combined with the win-rate

pattern above, this discipline is probably a big part of why performance holds up so well no matter what regime the market is in.

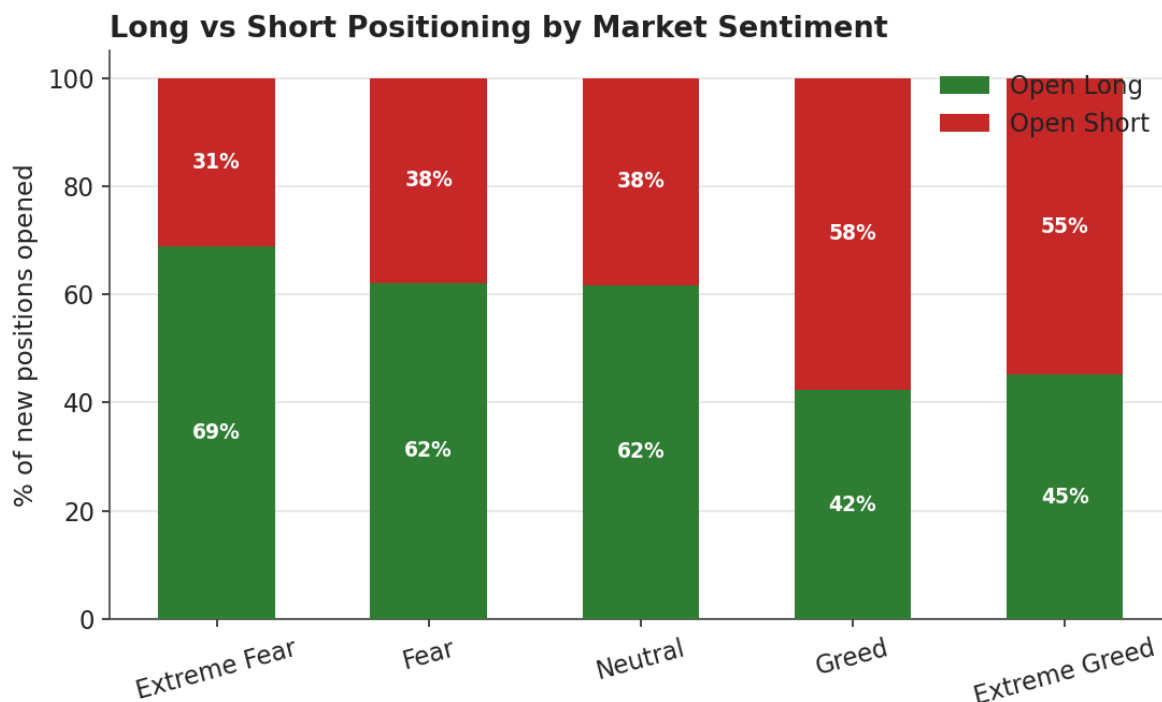


Figure 4: Share of newly opened positions that are long vs. short, by sentiment.

4. Traders are sizing down right when they should be sizing up

Average trade size drops from \$5,350 in Extreme Fear to just \$3,112 in Extreme Greed, a 42% reduction. That's a bit of a puzzle, because Extreme Greed is exactly where capital efficiency peaks. It looks like traders are getting more cautious with size right when the data says they should be leaning in more. This could just be general risk-off behavior late in a rally, or reduced conviction, either way it looks like money left on the table.

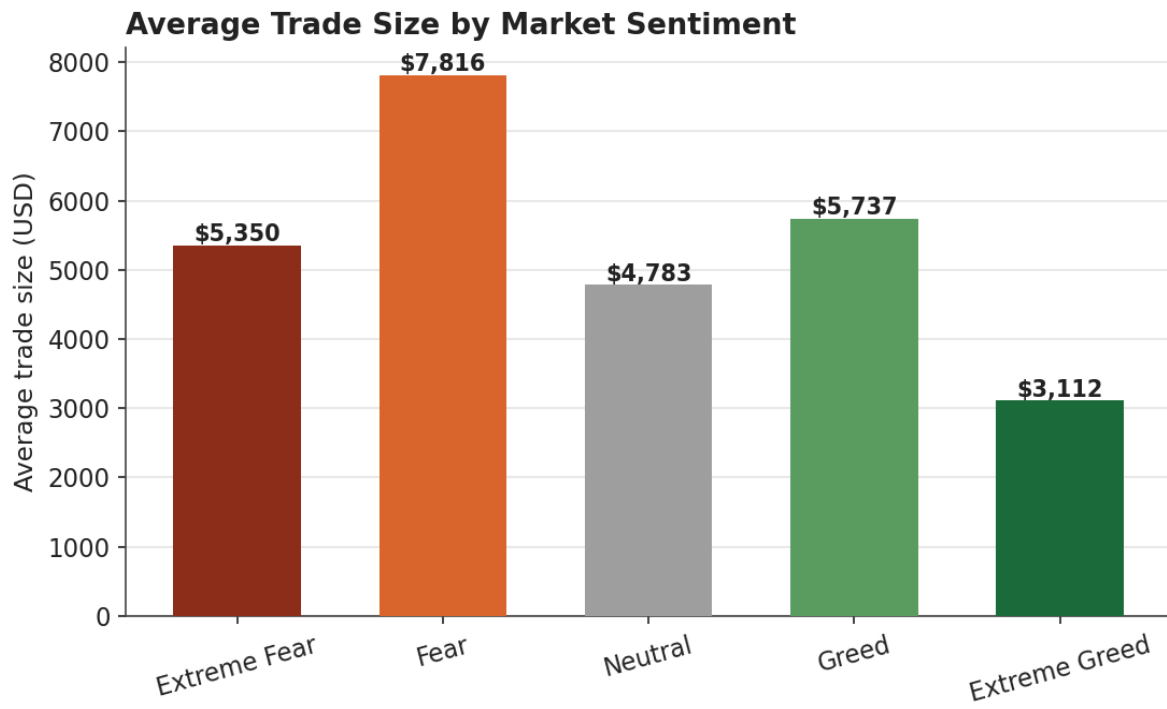


Figure 5: Average USD size per trade, by sentiment class.

5. The effect is real, but it's not a smooth, linear thing

A Kruskal-Wallis test confirms that closed PnL really does differ across the five sentiment buckets ($H = 730.3$, $p < 0.001$), so this isn't noise. But when I simplified things down to just Fear-side versus Greed-side trades, the difference stopped being significant (Mann-Whitney, $p = 0.53$). And when I checked whether the raw 0-100 sentiment score correlates with daily total PnL, the answer was basically no ($\rho = 0.040$, $p = 0.38$). The one thing that did correlate meaningfully with the raw score was capital efficiency ($\rho = 0.135$, $p = 0.003$). Put simply: sentiment's effect isn't a dial you can turn smoothly, it's concentrated at the extremes, and it shows up more in how efficiently capital is used than in how much money gets made on any given day.

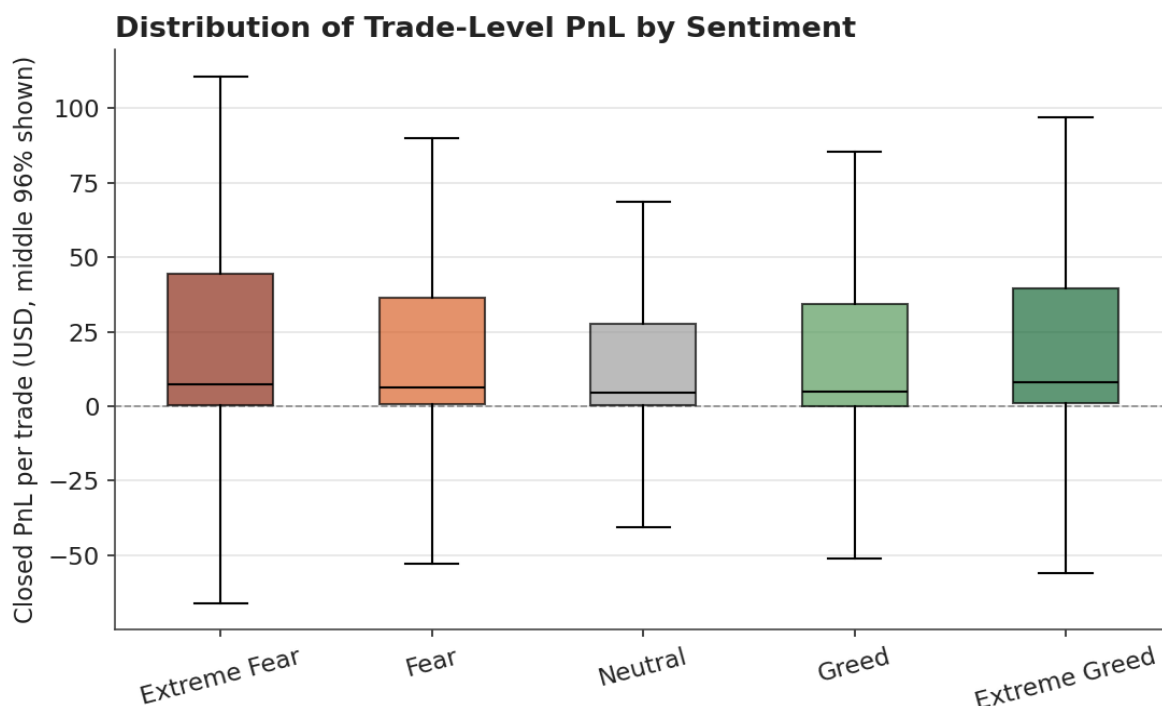


Figure 6: Distribution of per-trade PnL by sentiment (middle 96% of values shown, outliers excluded for readability).

6. Volume doesn't just track the sentiment index up and down

Looking at this over time, trading volume doesn't rise and fall neatly with the sentiment score. Volume spikes show up both at sentiment extremes and during regime transitions, which suggests sentiment extremes act more like a trigger for activity and volatility than a steady demand driver.

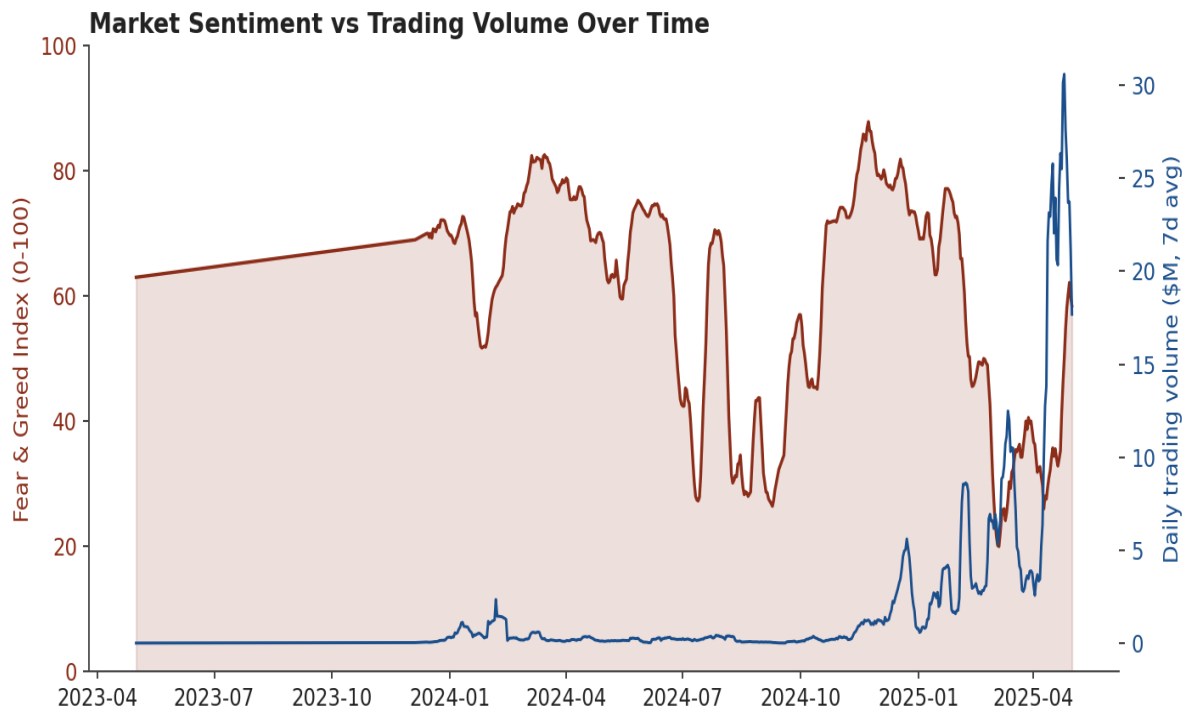


Figure 7: 7-day rolling average of the Fear & Greed Index (red, left axis) vs. 7-day rolling trading volume (blue, right axis).

7. Not every coin follows the same rulebook

Break the PnL numbers down by coin and the aggregate story starts to fall apart a bit. BTC and ETH are actually most profitable during Fear (BTC averages \$96.97 per trade in Fear versus \$51.66 in Greed; ETH does \$429 versus \$136). But the “@107” perpetual and FARTCOIN lose money during Fear and only turn profitable once sentiment flips to Greed. SOL, meanwhile, barely cares, it's fairly consistent across all regimes (\$290-378 per trade). A single blanket sentiment rule would help some of this cohort's biggest positions and actively hurt others, so any real strategy needs to be asset-aware.

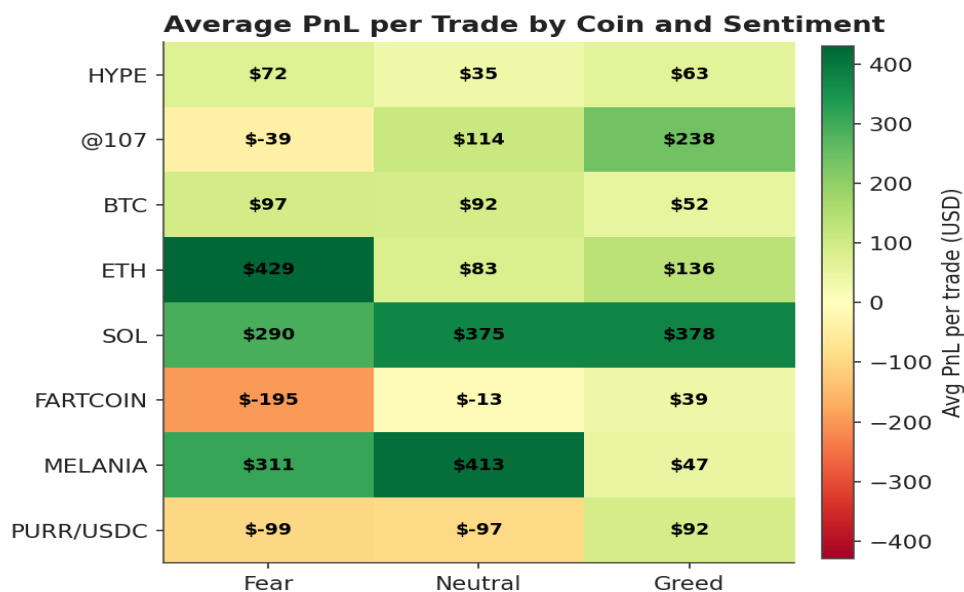


Figure 8: Average PnL per trade by coin and sentiment bucket (green = more profitable, red = less).

8. Not all traders agree with the aggregate story either

Looking at each of the 32 accounts on its own, 21 are most profitable overall during Greed, 10 during Fear, and 1 during Neutral conditions. So the “Extreme Greed is where the edge is” finding, while true in aggregate, doesn’t hold for everyone. About a third of these traders have an edge that shows up specifically during Fear, which probably reflects different underlying strategies, contrarian versus momentum, or just different coins being traded.

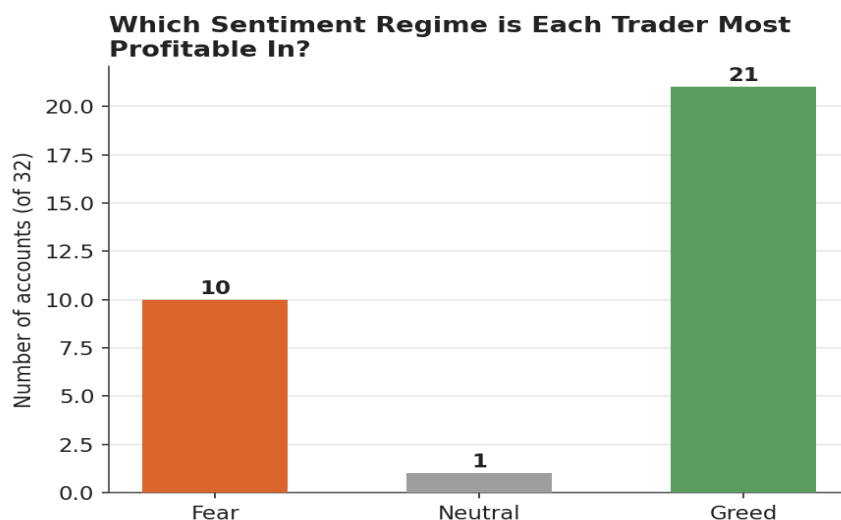


Figure 9: Count of accounts (of 32) whose highest total realized PnL occurred during each sentiment regime.

What I'd actually do with this

1. Size up during Extreme Greed instead of pulling back.

Capital efficiency is roughly 3x higher during Extreme Greed than any other regime, yet that's exactly when average trade size is smallest. A sizing rule that scales positions up (within existing risk limits) specifically on Extreme Greed days could capture a lot more of that disproportionate edge.

2. Turn the contrarian instinct into an actual rule.

This cohort already leans long in Fear and short in Greed, and it's paying off in win rate. Making that explicit, biasing entries toward the contrarian direction and requiring extra confirmation for sentiment-aligned entries, would make the edge more repeatable instead of relying on gut feel.

3. Treat the two extremes as distinct opportunities, not just the edges of a spectrum.

Both Extreme Fear and Extreme Greed show stronger results than the middle-of-the-road regimes. A strategy that concentrates conviction near the tails and stays more conservative in between will probably outperform one that treats the sentiment index as a smooth linear signal.

4. Build asset-specific sentiment rules rather than one rule for everything.

BTC and ETH reward Fear-regime entries. @107 and FARTCOIN reward Greed-regime entries. Applying a single sentiment overlay across the whole book will help some positions and quietly hurt others. Each asset's own historical pattern should inform how much weight sentiment gets for that asset.

5. Watch capital efficiency, not just total PnL or win rate.

Total PnL is skewed by whichever regime happened to have more volume, and win rate barely moves (76-89% the whole way through). PnL per dollar traded was the only metric that correlated significantly with the raw sentiment score at the daily level, it's the more useful thing to track in real time.

6. Don't apply one sentiment rule across every trader or strategy.

A third of the accounts here actually do better in Fear, not Greed. A blanket sentiment overlay applied to the whole book risks helping some strategies while quietly hurting others. It's worth calibrating sentiment sensitivity per strategy, based on each one's own track record.

Where this analysis could be wrong, or at least limited

- This is a small, concentrated sample. Only 32 accounts show up in the data, and 5 of them are responsible for two-thirds of all volume. What I'm describing is how this specific (probably fairly sophisticated) group of traders behaves on Hyperliquid, not some general truth about crypto traders.
- Sentiment is measured once a day and applied to every trade that day. A trade placed right after midnight on a day that flips from Fear to Greed by 9am still gets labeled with that day's single sentiment score, so there's some inherent noise here.
- This shows correlation, not causation. I can say sentiment regimes and trading outcomes move together, but I can't say sentiment caused the positioning or the profits. Sentiment itself is probably tangled up with price momentum, volatility and liquidity, all of which affect PnL on their own.
- There's likely some survivorship going on. We only see the accounts that happen to be in this export. Anyone who got liquidated, stopped trading, or isn't included for some other reason simply isn't part of the picture, which could tilt the sample toward more durable, successful traders.
- A handful of outsized trades can swing the averages. PnL is heavily skewed (some individual trades exceed $\pm\$100K$), which is exactly why I used non-parametric tests throughout, but headline numbers like total PnL are still sensitive to a small number of very large trades.

What's included alongside this report

Along with this write-up, I've packaged the full Python pipeline (data cleaning, statistical tests, chart generation) and CSV exports of every table referenced above, metrics by sentiment, the daily time series, the coin-level breakdown, per-account regime preferences, and the long/short bias numbers, so the whole thing can be reproduced or extended.